Signed by
Transition RAC
RADIX DAO LLC

Conflict of Interest Policy

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1. Purpose

This policy ensures that DAO governance decisions are made in the best interests of the DAO and its community, free from undisclosed personal or financial interests.

It defines:

- What constitutes a conflict of interest
- Who must disclose and when
- How disclosures are made and recorded
- When recusal is required
- How violations are handled

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2. Scope

This policy applies to all individuals exercising decision-making authority within the DAO, including:

- RAC members
- Treasury Signers
- Working Group Stewards and members with budget or execution authority
- Strategic Coordination WG members
- Any contractor or advisor acting in a decision-making capacity on behalf of the DAO

Token holders exercising ordinary voting rights are not subject to mandatory disclosure under this policy, but are encouraged to act in the DAO's best interest.

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3. What Constitutes a Conflict of Interest

A conflict of interest exists when a covered person's personal, financial, or professional interests could improperly influence — or reasonably appear to influence — their exercise of DAO authority.

3.1 Financial Interests

A conflict exists where a covered person, or a close associate (family member, business partner, employer), has a material financial interest in:

- An entity seeking DAO funding, a grant, or a contract
- A protocol, product, or project that would directly benefit from a DAO decision
- A competitor of an entity the DAO is evaluating for partnership or investment

Material financial interest. There is no numeric threshold, and none is set in DAO Parameters — a figure would need calibrating against operating history the DAO does not have and against volatile token valuations, and would authorise non-disclosure beneath it. An interest is material where either limb below is satisfied.

(a) Interests deemed material, without any assessment of size and with no judgement exercised by the covered person:

- equity, tokens, debt, or any other financial instrument issued by a party to the matter or by an entity under common control with a party;
- employment, a directorship, an advisory engagement, or any officer position with a party, current or ended within the preceding 12 months;
- any payment, grant, fee, or other benefit received from a party within the preceding 12 months, or expected from it;
- any of the above held by a close associate.

"A party to the matter" means the entity or person the decision concerns — an applicant for funding, a counterparty to a contract, a project whose position the decision would alter, or a competitor of any of them where the decision bears on their relative position.

(b) The residual test. Any other financial interest is material where a reasonable Governance Participant, knowing the interest, would consider it capable of influencing the covered person's exercise of DAO authority — not what the covered person believes about their own impartiality. A dispute is decided under §5.3, not by the person whose interest is in question.

3.2 Organizational Affiliations

A conflict exists where a covered person holds a paid role, directorship, or advisory position with:

- An entity submitting a proposal or grant application to the DAO
- Any entity — including predecessor organisations, protocol developers, founding sponsors, or their successors and asset transferees — that has or had a material controlling, funding, or developmental relationship with the Radix protocol or DAO infrastructure
- Any foundation, company, or protocol with a direct stake in DAO governance outcomes

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3.3 Personal Relationships

A conflict may exist where a close personal relationship (family, romantic partner, close friend) with a proposal submitter or counterparty could influence the covered person's judgment.

3.4 Simultaneous Role Conflicts

A conflict may exist where a covered person holds multiple DAO roles whose interests or authorities may be in tension — for example, a Working Group Steward who is also a grant applicant to that same Working Group.

3.5 Delegated Function Consolidation

A single Delegate may hold one or more Delegated Functions, as defined in the **Delegate Mandate §2**. No combination is categorically prohibited, but the following combinations carry heightened structural risk and require the additional safeguards stated:

- **Compliance Liaison + Treasury Signing.** Because the Compliance Liaison verifies KYC and sanctions screening for Treasury Signers (Delegate Mandate §2.4; Compliance Operations Policy §2–3; OA Article X), a Delegate holding both functions must have their own KYC verification performed by the RAC (with the conflicted Delegate excluded) or by an independent verifier appointed by the RAC. The verification record must be referenced in the RAC's next quarterly accountability report.
- **Governance Operations + Treasury Signing.** A single Delegate elevating a Temperature Check to a Governance Proposal and then executing the resulting treasury action must declare the dual role at execution. The declaration satisfies the transaction-level disclosure requirement in §4.3.
- **Legal Signatory + Treasury Signing.** Where the same Delegate signs an underlying contract on behalf of the Company and executes the related treasury payment, the dual role must be declared at execution under §4.3.

Other Delegated Function combinations are permitted under the standard disclosure and recusal obligations in this policy. This list may be updated by Governance Process proposal as operational experience identifies new structural conflicts.

3.6 Materiality Across This Section

Recusal under §5.1 is required where a conflict is **material**. §3.1 defines that for financial interests; this section states how it applies to the other four conflict types.

- **§3.2 Organizational Affiliations — material without further assessment.** The section is already scoped to entities with DAO-facing business, so an affiliation within that scope is material by virtue of the scope.
- **§3.3 Personal Relationships and §3.4 Simultaneous Role Conflicts — the residual test in §3.1(b) applies.** Both are drafted as conflicts that *may* exist, so materiality is the question they turn on.
- **§3.5 Delegated Function Consolidation — not a recusal trigger.** It is a structural risk managed by the declaration duties in that section and by §5.1's

rule that holding a role is not of itself a material conflict. It becomes a recusal matter only where an interest under §3.1 to §3.4 also arises.

Materiality is never determined by the covered person alone: where disputed, §5.3 governs, and where the dispute reaches the body the person sits on, §8 governs.

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4. Disclosure Requirements

4.1 Initial Disclosure

All covered persons must submit a Conflicts Disclosure Statement upon:

- Nomination or appointment to any covered role
- Commencement of a contract or advisory engagement with the DAO

The disclosure must include:

- **All** current financial interests in ecosystem entities — **no threshold applies to disclosure**
- All current organizational affiliations, including paid roles, directorships, and advisory positions
- Any personal relationships that could constitute a conflict
- Any other circumstances the covered person believes could give rise to a perceived conflict

Initial disclosures are reviewed by the RAC and published in the DAO's public records.

Disclosure and recusal carry different bars, deliberately. Everything above is disclosable whether or not it is material under §3.1 — materiality governs only whether **recusal** follows (§5). Disclosure is cheap and reversible where recusal costs the DAO a decision-maker, so the bar sits on the expensive act. Disclosing is therefore not an admission of materiality, and a covered person who is unsure should disclose: a recusal request under §5.3 can only be argued from facts on the record, so an undisclosed interest is one nobody but its holder can raise.

4.2 Ongoing Disclosure

Covered persons must update their disclosure within **14 days** of any change to anything §4.1 requires them to disclose, including:

- Accepting a new paid role or advisory position with an ecosystem entity
- Acquiring a financial interest in an entity relevant to DAO decisions
- The emergence of a new personal relationship relevant to this policy

The trigger is a change to a **disclosable** matter, not a change to a **material** one — §4.1's scope and §3.1's materiality test are not the same bar, and the update duty follows the wider of the two. An interest immaterial when acquired can become material as the DAO's business changes, and that reassessment cannot be made by anyone if the acquisition was never recorded.

4.3 Transaction-Level Disclosure

Before participating in any DAO decision, covered persons must declare any conflict with the specific matter under discussion, regardless of whether it was previously disclosed in their standing disclosure.

Transaction-level declarations must be made:

- In the relevant governance forum thread or Working Group meeting record
- Before deliberation or voting takes place
- In sufficient detail for other participants to assess the nature of the conflict

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5. Recusal

5.1 When Recusal is Required

A covered person must recuse themselves from any decision where they have a material conflict of interest, including:

- Withholding their vote or sign-off on the conflicted matter
- Withdrawing from deliberations and discussions where their participation could improperly influence the outcome
- Not acting as a representative of the DAO in negotiations or communications with the conflicted party

Holding a role is not of itself a conflict. Holding a Delegated Function, or holding a Delegated Function alongside a RAC seat, is **not of itself a material conflict of interest**, and does not require recusal from RAC oversight of the area that function operates in. Under the **Delegate Mandate §3** the RAC allocates Delegated Functions from among its own seated members, so a contrary reading would require most of the RAC to recuse from most treasury and governance oversight, drop the body below the non-recused floor in **DAO Parameters §5.1**, and make routine oversight unperformable. Recusal is triggered by a **case-specific** interest — a payment or benefit to the covered person or a person or entity connected to them, an engagement they or a connected party bid on, a matter in which they are personally the subject of the determination, or any other circumstance in this section. Structural role overlap is instead managed by disclosure (§4), the role-concentration limit in **DAO Parameters §6B**, and the published allocation required by **Delegate Mandate §3**.

Recusal is distinct from an ABSTAIN vote. A recused person casts no vote at all: for RAC decisions they are removed from both the quorum denominator and the approval calculation for that matter, subject to the minimum non-recused floor in **DAO Parameters §5.1**. An ABSTAIN vote, by contrast, is a cast vote that counts toward Participation and quorum (**Proposal & Voting Framework §6.3**). A covered person who is required to recuse must not substitute an ABSTAIN vote for recusal, because doing so would contribute their voting power to the quorum of a matter they are conflicted on.

5.2 Self-Recusal

Covered persons are responsible for identifying and self-declaring recusal obligations. When in doubt, they should err on the side of recusal and seek guidance from the RAC.

5.3 Requested Recusal

Any other covered person or the RAC may request recusal of a covered person for a specific matter. The request must state the grounds.

If the covered person disputes the recusal request, the RAC makes a binding determination within **5 business days**.

5.4 Recusal Record

All recusals must be recorded in the meeting minutes or governance forum thread for the relevant decision. The record must state:

- The person recusing
- The nature of the conflict
- The decision from which they recused

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6. Prohibited Conduct

The following are prohibited regardless of disclosure:

- **Self-dealing** — approving DAO resources for a transaction in which the covered person has a direct financial interest, even if disclosed, unless explicitly approved by the DAO through an arms-length governance process
- **Undisclosed conflicts** — participating in decisions where a material conflict exists without prior disclosure
- **Misuse of position** — using a DAO role to steer decisions, information, or resources toward personal or affiliated interests
- **Trading on non-public information** — using non-public DAO information to make financial decisions in connected markets or tokens

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7. Legacy Entity and Commercial Entity Relationships

The following provisions apply to any covered person with prior or residual affiliations to predecessor entities or their successors:

- Any covered person who holds, or has held within the preceding three years, equity, a paid role, or non-trivial token compensation from any predecessor entity, successor, or asset transferee with a material relationship to the Radix protocol or DAO infrastructure, must disclose this as a standing conflict
- Such persons must recuse from any DAO decision that would provide material financial benefit to those entities, their successors, or their former principals, relative to other ecosystem participants
- This does not prevent persons with prior affiliations from holding DAO roles, but any residual conflicts must be publicly on record

This provision is intended to ensure transparency during and after the transition from predecessor commercial entities to community governance — not to exclude individuals with relevant expertise.

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8. RAC Obligations

RAC members are subject to heightened obligations given their oversight role:

- A RAC member with a conflict on any matter the RAC is adjudicating must recuse from that specific determination
- If a conflict affects a majority of RAC members on a given matter, it must be escalated to a community governance vote under the **Dispute Resolution & Arbitration Policy**.
- RAC members must not hold positions at entities currently under RAC review

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9. Record-Keeping

The RAC maintains a **Conflicts Register** containing:

- All current standing disclosures from covered persons
- All transaction-level conflict declarations
- All recusal records

The Conflicts Register is published and updated no less than quarterly. Each covered person's standing disclosure must be accessible to the community at all times.

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10. Enforcement

Suspected violations of this policy are handled as follows:

1. A report may be submitted to the RAC (or, if the violation involves a RAC member, to the Governance & Legal WG)
2. The RAC investigates and issues a finding within **30 days**
3. Where a violation is confirmed, available remedies include:
    - Invalidation of decisions made in violation of this policy
    - Removal from role (per **Elections & Role Governance Policy** §10)

- Referral to the **Code of Conduct** enforcement process for sanctions
- In cases of fraud or self-dealing, a governance proposal to recover misappropriated funds

The accused person is given the opportunity to respond before a finding is issued.

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11. Relationship to Other Policies

- **Code of Conduct** — Disclosure failures and self-dealing are also Code of Conduct violations
- **Elections & Role Governance Policy §5, §15** — Eligibility requirements and conflict disclosures at nomination
- **Treasury Signers Rules** — Conflict obligations for signers acting on treasury transactions
- **Dispute Resolution & Arbitration Policy** — Escalation path for contested recusal determinations

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12. Amendments

*Amendment procedures and classification requirements are defined in the **Governance Maintenance & Upgrade Framework**.*